Is the Forced Selling Over?

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode argues that despite a historic market correction driven by leveraged position unwinding in the AI and semiconductor sectors, the fundamental business case for data centers remains robust due to technological efficiency and expanding infrastructure capacity (power). Investors are advised not to overreact to short-term volatility or media-driven narratives regarding Treasury purchases, but instead view this as a mid-to-late cycle opportunity where current price levels reflect earnings risks. The core message is that while investors cannot control macro forces like inflation, rates, or AI spending trends, they can manage risk by strategically positioning retirement portfolios for 2027 rather than seeking immediate bounces in high-beta tech stocks.

2. Key Arguments & Data:

3. **Market Capitalization Losses:** The S&P 500 lost $2.9 trillion in market cap; semiconductor and chip companies accounted for over half of that ($1.5 trillion). NVIDIA alone saw a decline of approximately $450 billion. This represented one of the biggest single-day losses on the Nasdaq since March 2020.
4. **Sector Volatility:** The chip index dropped 12.3% overnight, taking six minutes to erase the entire rally from the previous day. Only one in seven stocks were higher at the close.
5. **Leverage Liquidation:** Retail and institutional investors (CTAs, hedge funds) faced forced selling pressure; "Everyone had to sell the same thing at once." There was significant buying of put options on the S&P 500 as a reaction to this volatility.
6. **Fundamental Earnings Outlook:** Micron's net margins are currently at roughly 80%, with potential drops to 60% (a 20% margin slip) already priced into current stock levels. While earnings growth slowed, the second derivative is lengthening the runway rather than destroying valuation multiple years ahead.
7. **Power Constraints & Infrastructure:** The host challenges Elon Musk's recent comments on power bottlenecks as a primary constraint.

Suggests tech efficiency gains (solid oxide fuel cells, natural gas turbines) and industrial capacity (e.g., Caterpillar, Bloom Energy solutions) can provide sufficient onsite power generation without grid failures.

8. **Political & Social Context:** Tech companies face growing public pushback regarding their "parasitic" nature and environmental impact on communities ("data center dividend"). Democrats lost significant Senate representation in the midterm elections compared to prior years.
9. **Accounting Standards:** Host critiques long depreciation schedules for data centers (20 years) as unrealistic compared to hardware lifecycles, referencing Waste Management's 1998 earnings scandal regarding extended depreciation and SEC proposed rules on related-party transactions.

10. **Media Narratives:** Berkshire Hathaway's $17 billion purchase of Treasuries is framed by media as a signal to flee equities; the host views it as cash management (1.7% of book) or momentum shifting toward bonds, noting market overreaction to such announcements.

11. Actionable Takeaways:

12. **Portfolio Management:** Do not attempt to control external factors like inflation, interest rates, or AI spending. Focus on lowering risk and cost in your retirement portfolio for the 2027 outlook.
13. **AI Sector Strategy:** Avoid expecting immediate price recovery from AI stocks; consider this a mid-to-late cycle phase. If you are not heavily levered long, accumulation at these levels may be suitable because negative margin scenarios are already priced in.
14. **Skepticism on Macro Noise:** Do not base decisions solely on media narratives (e.g., Treasury buy signals) or retail investor moves following influential reports without independent verification.
15. **Infrastructure Assessment:** Factor technological solutions for power generation when evaluating data center valuations, rather than assuming power capacity is the immediate bottleneck.
16. **Risk Preparation:** Understand that high leverage positions can lead to forced liquidation similar to what was seen with hedge funds and

CTAs; ensure your portfolio is positioned to withstand potential second-round shocks if macro conditions deteriorate further.

Full Transcript

You know, CTAs had to sell, Vault control had to sell, all the hedge funds that were along the stuff had to sell. Like everyone had to sell the same thing at once. Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital, Zach Abraham, for his free, taking control live webinar, November 19th at 3.30 p.m. Pacific Time. At our webinar, we'll review the forces that shaped this year's markets and what we're watching as investors head into next year. Bulwark is focused on risk management.

always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next, but you can control how you prepare for it. Investment advisory services offer through Trek Financial LLC, an SEC registered investment advisor. Investments involved risk and are not guaranteed. Past performance doesn't guarantee future results. Trek 26116. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I'm joined as always by the brain trust himself mr. Chase Taylor and today Will not sound The winning comment is our second time starting this recording because I don't know how to run a board The winning comment of the day yesterday was it sounded like I was recording in a cruise ship kitchen I was one of those just caught me. I just started dying laughing And I had no idea. I had

no idea that that comment wasn't as funny as the one where someone said their kid walked in the room and asked if they were cooking dinner Well, it also might mean that Mike's picking up that sound and in a real life do right What is up with that Mike first of all because I'm other than it pointed in the wrong direction It wasn't it wasn't even ported or it wasn't even pointed toward the kitchen like the kitchens. Yeah Yeah, I was renaming the show pots and pans. Yeah. Yeah. Cleaning, cleaning dishes. Uh, like you get a home studio. I'm like, I kind of have one. But, um, yeah, they were going to make me up one. And I was like, dude, I don't want to, I don't want to home. I don't want to get, we've had a lot of, the reason I've recorded so much at home is because we've just had a lot of different things going on the bridge closures.

Uh, my little sabbatical there at the end of the summer, all that kind of stuff. And then when, and then right when I got back on sabbatical, you took your two weeks off. And so if you're not in studio, I'm like, well, what's the point of me being in studio anyway? So I'm sure everybody's been losing sleep over that. Um, plenty to talk about. Um, and I think a little more reflection, um, that was, you don't want to use the word historic. Yesterday, but kind of I'll use it. I mean, that's one of the biggest moves you've ever seen on the Nasdaq on semiconductor index both were the biggest down days since the the pandemic like nasty Drop in March 2020. So Let me let me work through some stats here actually. Yeah, let's do it S&P lost 2.9 trillion dollars yesterday chips themselves were more than half of that at one and a half trillion NVIDIA alone, 450 billion. Oh, speaking of this, this was an insane stat I saw. I think it was Alex Kurovich. The market lost more market cap yesterday than it had back in like 01 or whatever, whenever the .com bubble burst, I think it was. It maybe even been like 07 or 08 or something, but.

I think it was dot com bubble. The 85% drop on the Nasdaq nuke, the same amount of market cap that we... That market wasn't even worth as much as we lost yesterday. Holy smokes. Which doesn't say much for inflation, but... We're a bunch of pikers back there. Chips were down 12.3%. It took six minutes to erase the entire rally from the day before. Only one in seven stocks were higher. It was... It was definitely historic. Like there's really no two ways about that. By the way, the most puts ever bought in history on

the S&P yesterday. So the crazy thing was the day before everyone let go of their hedges, you could see that in the data. So then everyone had to slam their hedges back in at a way worse price yesterday. It was ugly. Yeah, look, my view of this has not changed at all from yesterday.

I don't think that anything is permanently changed. But I do think the level of opacity in this trade as it relates to the AI side of it has gone way up. There is uncertainty. The facts did change. Yeah, the facts did change. Yesterday. That's just true. Yeah. And what is the impact? Look, I feel very strongly that there are names right now that are probably screaming buys in that sector. I don't believe that that sector is a screaming buy right now. I believe that they're probably our names and I think that if you were not in that trade and you weren't loaded up with that stuff I think now I mean look you look at a company like micron They're running at 80% net margins right now. I want to say something like that They're big. Yeah Okay, so even if even if these changes are slowdowns in a data center means that those margins slip to 60% or Like you said, maybe they hold the margins. They sell a few less chips. Maybe they cut prices and lower margins, whatever. And it sounds weird to say this, but if their margins go from 80 to 60, I think that's more than represented in the price today. And it is. I mean, if that's what you're concerned about is a slip, a 20% pullback in how many chips they're going to sell or a 20% pullback in margins, that's priced in them.

It's more than priced in yet. There's a lot of interesting cross currents here. So you have, if you think about it, yes, there's going to be a slowdown. Obviously that changes the second derivative, the growth rate of these earnings, right? And the market doesn't like that. And it's, it obviously it's punishing for that. But we also have just everyone was levered long. A lot of people thought a lot of those people had to blow up out of the trade. Um, so you had a bunch of four selling, you had pod shops. Going to rye credit funds going to rye hedge funds going to rye Yesterday like there was a guy that's written about funds for his whole career and he was like I've never seen a day like this where Multiple hedge funds and credit funds and stuff are like yep. We're shutting down this pod this pod this pod this pod We're firing these blank employees or we're shutting the fund down returning capital like there was it was it was a bloodbath in the as Dan lobe said today

hug your hedge fund manager, which was kind of funny but So there was a lot of carnage on Wall Street from the people that don't have a managed risk obviously like People that bought late with leverage if you're late and you're levered you you may have a bad time in a trade like that Especially if you didn't see a whole bunch of blue governors coming your way. So Part of it's that you have we had to like Let this water settle out so you can see to the bottom again and it's two things is everyone that was gonna blow up already dead and to have we adjusted to the second derivative slowdown Because after that, after that, and you just kind of look through the clear water, you can be like, okay, well, yep, they slowed down, but that kind of just lengthens the runway. Instead of the spinning a bajillion dollars in 27, maybe let's spin a good bit of that in 28 and 29 and 30. Just slows it down. That doesn't have to all be bad. It doesn't have to nuke your valuation other than short-term while we adjust to the earnings downgrades for 27 or whatever. No, the flip side is when you look at, again, some of the names, I mean, You know, some of them still look very unapproachable if your credit problems ahead of your making money problem. Okay. Well, you're that's a different bucket. Yeah. Yeah, but Now I think it's it's important to say it wasn't just yesterday Right, meaning yeah, a lot of this would have been moving for a month or two in October was a bad month for this stuff Well, and it's November and that was my point about micron, right? Like I mean it's easy to forget and it's easy to caught up in yesterday, but but like Well, hold on. Where's that at? No, of course. It's not the one that I had right up my stream. It's never, never that easy. But, you know, micron in the last month was down 34%. Right. It was a bloodbath for October. I mean, that's why I got interested, whatever it was, two, three weeks ago. I mean, yeah. Microns effectively like 45%. Yesterday, I think at one point it was almost exactly 50% off its eyes or very close to it. AMD was down like 20% or something yesterday. Yeah. These things Got hammered. Yeah. And he reported good earnings that everyone loves. Yeah. And a good outlook that everyone loves. Yeah. You know what I mean? Yep. Yeah. And if you're not overloaded in those things, I think this is probably a good, a good entry place to maybe start building some positions. You know, I'm, you and I were talking about this the other day. I'm always reminded of, you know, something I heard Stan Druckenbiller say, which, you know, one of those just simple truths, like don't make it too hard.

When a company stocks going up and their earnings and revenues are going up, buy it. Now, the stock isn't going up right now. But when you see things trading at levels like this, and I'm not telling you to go on and buy AI stocks, the other thing is if you're going to buy AI stocks, I would not expect them. to repeat what they've done over the last, like, don't buy Micron because you're expecting it in the next three weeks to rip back. This is not the beginning of their cycle. This is mid to late cycle. Yes. And it may even be a dead cycle. It may be. It may be. I mean, like, you've got to keep that in mind. In fact, the market thinks that largely, I think, at this point. Yeah, which to me is just like, it's something that this market loves to do usually much more to the upside, but just overreactions, right?

a serious amount of uncertainty got thrown into this trade. And everyone was levered long, even though we had dipped. It's not over. Now, the one thing that I'm still want to dig in some more on is what Elon said. And I know you said you don't agree with it or you don't see it that way. I always want to be careful when I'm fading opinions from guys like him. Because if he thinks, and he said quote unquote, I think everybody in this industry is about to learn a hard lesson, a hardware lesson. Again, it's tough judging a guy like that because he could have 18 different, like people are like, well, why would he be motivated to do it? I don't know. He's getting ready to buy 40 billion worth of chips through a video. Like meaning. Yeah. And he can kill competitors like CoreWeave because he's now basically running a Neocloud instead of a Frontier. Right. So that would be wonderful for him. I bet he would love to buy their assets. I'm sure he would. But at the same time, I'm not just going to completely dismiss everything he said based on that because It is it's it's a statement that I think on the face of it. You have to at least entertain Right like when you look at the power demand of these things and all that kind of stuff and you talk about the grid issues that we've got here in the United States and other places in the world It's it's something that you have to consider right like if he's right it makes the assets It makes the demand for that stuff higher is it'll just queue up in a corral because people are just gonna You know, then we all think about power more as the bottleneck which some of us tried to do for the last five years and didn't really help it Not as much as the chips anyway, you know, if you're just hanging around nuclear stuff and gas stuff and like It had a cool little party and then it ended now even even bloom and I told myself if bloom hit 160 I

was gonna get in there haven't done it and so far I bounced off of it actually but the reason I I'll push back at least short term on the power constraint is just For one like this stuff's getting way more power efficient that that's a good start but be like the amount of I Mean we are doing the the nuclear re-rating stuff where you can get more juice out of the same plants You know we are gonna bring on a lot more gas like bloom can do this just with their their cells You know like plenty of new solar is hitting the grid like that I think the power could be there. And then you got Caterpillar just running, you know, some of these cats will just line up the diesel generators and put them in series and let it rip. Like that's what Elon has done himself. Like at points, or at least get natural gas turbines, but Caterpillar natural gas turbines in multiple companies are doing this. So I thought you meant that they were lining up their places in the Midwest, just turning out gas turbines. I thought I little bitty ones. I thought you meant they were literally no, that has happened. There have been. No, I thought you meant they were hooking up heavy machinery.

Oh, no, diesel generators. Yeah, diesel. I was like, good, God, they're stringing together excavators to power up. There are people read. In fact, our friends over at what are we doing lately? The old fellas from Seawolf, they're in a company that was repurposing aircraft engines to turn them into turbines to make power. Like every which way you could think to supply these cats with powers. People are out there working hard on. Well, and that was one of the things that I was sitting there thinking about when I listened to Elon was I was like, if we have a capex cycle where people are spending trillions of dollars, I have a hard time. If they're throwing around that kind of money, they can figure out a way to generate power on the property. And don't even run. I do still think it could be a serious bottom. I can like Microsoft, Jensen, like all these all these cats have been saying for the whole time this has been the build out started, they've been like, eventually we're just going to run out of power, eventually we're going to power, eventually we're going to power. They've all been saying, it's not like, like Elon definitely didn't think that up this week. Like that is a lot, all of them have been really worried about it this whole time. I just think the, the, this is one of those areas where the free market response has been pretty impressive. Just bloom themselves. Like the fact that they can still get you power, like in under six months from the time you asked for it. It's pretty

amazing. Yeah. And they, is that, is that there's, I mean, I obviously I know bloom.

But is that their specialty is creating power solutions onsite? Is that kind of their thing? Yep. They have fuel cells. I knew that. Sort of like a weird battery. And they can come, they just essentially stack them until it's however many megawatts you need or whatever. And what's the input to the fuel cell? I think... So it's a chemistry thing, but the input to get them charged is usually... I'm usually gas, I think at the end of the day. Okay. Well, okay. So is that what, so, so what they're doing on site then is they'll have, so yeah, I'm throwing this out there, correct me if I'm wrong. They'll have like, let's say a Nat gas power generator, a big one, and it's charging the fuel cells and then the factory runs off the, or the data center runs off the fuel cells. Is that the right way to think about it? Let me go check with my overlord to make sure I don't say something stupid first.

All right. Yes. So they turn to after gas or hydrogen, but it's usually not hydrogen to directly into electricity through an electrochemical reaction rather than burning the fuel to spin an engine or turbine. It's technic. It's technology is called a solid oxide fuel cell. The solid oxide is a thin ceramic layer at the center of each cell. So yeah, typically gas to charge effectively a battery. And then you draw off a battery, but it's not burning the gas to charge it. I mean, I think it's burning the gas to charge it, but oh it is. Oh, maybe not. You're right. Yeah, because then that would require the turbine to begin with. Yeah. Yeah, right. The funny thing is I wrote a piece about this like six months ago. I can't remember any of it. Well, how many pieces you've written since? Well, that's true. Yeah, here we go. Natural gas enters the fuel side. Steam and heat help convert it into a mixture containing hydrogen and carbon monoxide. Where do you get the steam and heat? Air enters the opposite side. Oxygen picks up.

Electrons at the air side, electrode becoming negatively charged oxygen ions. The oxygen ions cross the ceramic layer. The ceramic lets those ions through, but blocks electrons. And then the ions reach the fuel on the other side, releasing electrons. There you go. I thought I'd make some extra noises in the background if people wouldn't know the podcast. They didn't hear some banging around. Sounds like dinner time in rural Texas. Oh man.

Well, I mean, we were making kids hungry, apparently. Kid came in, you cooking dinner, mom? Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital, Zach Abraham, for his free Taking Control live webinar, November 19th at 3.30 PM Pacific Time. At our webinar, we'll review the forces that shaped this year's markets.

and what we're watching as investors head into next year. Bulwark is focused on risk management, always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next. but you can control how you prepare for it. Join Zach's Taking Control webinar, November 19th, 3.30 p.m. Pacific time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. And speaking of rural Texas, I want to talk about that for a second. Let's do it. I come from rural unincorporated Texas, the kind of place where data centers are being built. And I didn't fully understand the way this was working. And I actually listened to the governor.

Elect about it. You grew to give the people a visual of this. Would it be fair? I mean, it's the way I think about it. But I look at where you grew up. It reminds me a lot of somewhere like Permian. No, it's not some from Southeast Texas. So. But I mean, like a lot of open land. Oh, yeah. Classic wide open, but but a lot of like marsh. Oh, that's right. That lake. Yeah. Yeah. So I grew up on the Colorado River, not the one everyone knows that runs through the desert. our own Colorado River starts in Austin, empties into the Gulf of America. And so I grew up right on that river really close to where it meets Matagorda Bay and the Gulf of now America. But yeah, super flat, giant skies kind of place, also giant mosquitoes and lots of them.

But anyway, like Texas has really, really unique zoning laws and kind of deregulation when it comes to like places like that.

It's it's sort of like anything goes environment a lot of times And this is why more than a fourth of the pipeline for data centers is in places like that because There's less rules. There's you know, you're not I couldn't call my city council. I did not have one You know what I mean? So like there's no one to be like you can't build that here in the same way that your average NIMBY plays can be like none You're not doing that plus the state of Texas loves business So they throw a lot of money and tax breaks and subsidies and all that kind of stuff at these data centers to come. But I think I just hit a tipping point where it was like, whoa, too many. And then some of these would just build literally right across the street from someone's house and they're really loud and stuff. And like, so, and you, you know, there's less NIMBY problem when you have just a few rural people, like no one's going to hear their complaint, right? But it got so bad that even governor Abbott heard the complaint and had to start doing stuff about it. And then they got shellacked across the board because You know, they didn't do enough about it, I guess. But one of the reasons that this whole thing may not be as bearish as people think is that the governor's not saying like, hey, no more data centers are gonna get built in Texas or anything like that. It's more of a, hey, if you're already building it, go ahead. If you're not already building it, we're gonna play freeze here and we're gonna talk and we're gonna pass some legislation to change the deal. Like, does it mean more rules and less subsidies and stuff? We're gonna work together to make that happen.

So it's more of a like slowdown than like a you're done. You can't build here We're gonna like come after you kind of thing. Yeah, you know, I was thinking about The more and more I thought about this whole data center thing and this might take off some of the free market folks among us, but I just If I was king for a day, I'd sit there and go where where's my dividend? And they go, what are you talking about? I go, no, no, you got to give me a data center dividend. And that is what a lot of states and local governments are asking for. Yeah. If you want, if you want to build the data center here, we're willing to work for you. But here's the criteria. It cannot drive up power costs. That's what Texas wants to do. Yep. Can't do this. But also, here's what it's going to cost you. Yeah. Instead of like you giving Us giving

you a subsidy you're gonna give us a kickback kind of like but like the people will get a kickback not not me And and he and here's why I say it and I feel downright Communist even saying it I do I do but I just we gotta figure This is a weird thing to say but people need to follow me for the good of capitalism and the good of free markets And I know this sounds weird just bear we need to figure out how to get profit corporate profit margins back down to a 16 17% historical range, right? This isn't good And it's not good for the corporations themselves, right? And you're starting to see it. I mean, you don't have to be like, I'm not Neil Howe sitting here predicting a fourth turning in 1997. It's right here. People have had enough. People are ready to take pitchforks in the street, especially for tech billionaires. And that's an underrated aspect of this election and that I was reflecting on the day. One of the reasons the Republicans got hit hard is because the Brolick arcs went all in on the Republican party.

And everyone associates the Brolek arcs in the AI build out with a lot of negativity. So like, well, I don't like these guys and they like these guys. So my, the enemy of my enemies, you know what I mean? A lot of people were willing to give the Brolek arcs a chance. Two years ago, based on promises the Trump administration made, like they were sitting there saying, okay, well, if they'll do this and they didn't, they didn't, they, they, they termed, they about faced, they completely turned, did the opposite of what they promised. And right and then shocker people are pissed. Yeah, and it makes perfect sense and and if you're if you're a poor person in a rural community Anywhere in the country and someone moves in and your power gets more expensive and You have an eyesore across the street. That's really loud Yeah, that's that is problematic and we and we have to adjust this because the relationship with technology companies and pretty much everybody else is different right look at these You've got to look at the environment that we're in, right? Meaning you've built trillion dollar companies that have basically built that market cap off of taking people's data, which they paid nothing for monetizing your attention, right? With people and the people didn't even realize that was happening. And look, right or wrong. And I think it's right in terms of I think the people have a right to be ticked and irritated and all that kind of stuff. And this this outsmarting of corporate America. And again, I'm the most pro, I mean, I run an investment from Cridel outman. I'm a pro business as they come. But it's always worked in

America because it was a symbiotic and mutually beneficial relationship. And it's just not benefiting enough on the other side, right? Now, it's downright parasitic in some ways, especially like on the social media side, at least.

Yeah, not that social media is the only big tech out there like like cloud computing is not hurting anybody like other than you know some of the data centers making things expensive or being annoying right next to your house, but Yeah, they got to pay a freedom dividend or a data center dividend something. It's called your 401k, you know your stocks went up Okay, speaking of which I Do you even want to go there on Wednesday? Congratulations Your 401k is up because I'm awesome. So the guy gets historically trounced, historically trounced. I think it's the worst loss Republicans have ever had. In some ways, I think that's fair, but I'm sure technically no. To go from a majority in the Senate in one election to swing to 57-43? I'm sure that's happened many times because in midterms, you almost always lose power in midterms. I guarantee the Senate's flipped harder in the past.

Chase, if they get up to 57... There's a lot. Dude, I don't think they've... So the reason I'm kind of okay with saying that it is maybe as bad as any is because when you think about how much the Democrats had to overcome to do that, you had a bunch of... First of all, not that many seats up. The seats that were up, Trump dominated the election. So these look like really hard seats to win. So to flip that many is... And it's not just that it's like again like the young young male voter the Hispanic voters the rural voters the like that that's where it's like whoa Plus Texas literally going straight down the ticket like every one Republican loss Yeah, then apparently it's Susie Wiles mass rejections. It's Susie Wiles fault. Yeah, I think she made in the last grown-up in the room was just kind of scary to see her go but January oh, so it was January 3rd 2009 January 3rd 2011 Democrats held 57 seats. So post Obama, they had a big majority too. It was a huge loss. There's no two ways about it. Yeah, I mean, it was a, yeah, especially considering it was a midterm. You know what it reminded me of? With like 4% growth and 4.1% unemployment and you know what I mean?

You gotta mess up a lot to lose that bad in an environment like that. Record housing and affordability, inflation, gas through the roof, there's just a bunch of things. And the killer to me was everything he said he did, everything he said he was gonna do, he didn't do. Which, if you're a young person looking to get in politics, I would advise you to not do that. No. That's not a good strategy. Another weird, like, there's so many things about that administration and the way they run things and they don't make any sense. How is it that somebody does not have some kind of control on the guy's social media thing? I mean, talk about just a machine gun to the foot. I mean, just empty in a clip. On Wednesday, it's, I just got destroyed in the midterms, but I'm taking credit for the stock bounce. 24 hours later, this is what you get when Democrats are in office. It was worded almost the same to you, like your 401ks ball in and the next one was like a 401ks trounce. One was me and the other one wasn't. It's just hard. Yeah.

Just hard especially for somebody and I've been really honest about my political leanings especially for somebody that is as conservative as I am I mean, I'm not a Republican but you know very conservative on a lot of on a lot of issues especially financial issues Conservative slash libertarian so it pains me to say these things you know what I mean not not in the sense that I'm not a party guy like I just I'm I've always I'm just too altruistic for that like I get more angry at people that are aligned with me politically that do Garbage things than I do as it should be in my brain. Yeah. Well. Yeah, because I like if I think you're a bum like I Mean to step on any of the Nancy Pelosi fans out there, but yeah Oh, tell me Nancy Pelosi. Yeah, of course. She did shocker. I think Nancy Pelosi is trash that her and her husband who just sucked every bit of money using every nefarious way possible to do it. And, and I don't mean to single her out. I think she's emblematic of that class. And I think that class is, does not know party affiliation. I don't know what you're talking about. She's a great trader. Just like, just like, just like Hillary was a great cattle trader. Oh, now there you talk about, you talk about a sterling trade trading record. Oh man, cattle, cattle master. Yeah. A one time cattle master.

Came in made her cool 600 grand and jetted right in a year mastered the cattle trades in a year No, I look that's it's it's a bunch of them But when I see somebody that I voted for And somebody that I supported and you feel

like you vouch for him You know, I think every one of us that votes for somebody feels a certain personal connection for kelvin samson who I voted for last year. Yeah, yeah two years ago Boys these these he's good cat and he yeah I mean, I almost won my school national championship. Oh, I did. That was my write-in. Probably going to go to Ted Lasso next time. I wrote in Jimmethy on my local ballot for several things. I saw some other people doing it, so it wasn't my idea. For those of you that don't know, somehow we got a shortened raccoon around here. Do you hear that story? I have not heard this. You haven't heard that? No. There were pictures of a raccoon that had like an oddly truncated spine. It looked like it was like a half-coon.

you know, but it was fully functional and alive. And so it's like the, the stubby bottle of beer, basically, you know, exactly. Yeah. Yeah. I look like if you saw him, you'd be like, that's like, yeah, you're a stubby three inch stubby course. Yeah. Yeah. Like, you know, a normal raccoons kind of like the shape of cat original stubby. This cat was like this. I mean, it looked like an accordion that just been compressed and he's running around. You can still get around Jim. Well, somebody named him that. These guys, he's on t-shirts around here. His big hit Washington state. I can't believe I didn't know this. I got to get into this. Yeah. Yeah. Well, you're missing out. I love my trash pandas. Yeah. Come on, Jimmy. Shout out to Huntsville, Alabama, the home of the trash pandas, the minor league team. Is that what they call them? It's awesome. Trash pandas. There was a trader on Twitter. She was a scalper, and she was pretty good. And what he called herself, mama trash panda or something like that. Anyway, it was pretty funny. The washing rat, is their name originates from the French word for washing rat?

Because they wash their food, it looks, they appear to wash their food in water. Yes. They actually can feel it better underwater and they're trying to feel for like the places to eat, eat it and not eat it. Really? Yeah. That's what they're doing when it's underwater. Yeah. So the water, water help them. They have like insane hands that can are like way more perceptive than ours. Yeah. Well, they have, they have opposable thumbs too, don't they? They have little hands basically. Yeah. Yeah. You know, I wanted that on my kids nature walk like a month ago by the way. You know, so field trip. Dude, this is one of the reasons that bums me out that my youngest is now

12. I used to, I would always, I, not always, sometimes I could, most of the time I couldn't, but I would always jump at the opportunities if I could go on field trips. I loved it. I remember when I was a kid, you know what? That's not true. I always loved it. It's, well, because a field trip is a child's documentary, effectively, you know what I mean? So I loved the good field trips when I was a kid. And I'd actually sit there.

You know and I was hyperactive like I was you know sport player aggressive all that kind of stuff But got in trouble all the time at school, you know not listening talking too much wasn't bad, but just handful but man you put me on a good like Northwest track. Have you heard a Northwest track around here? I've not you got to take Evie out there So it's like this wild. They've got a they've got a Kodiak Grizzlies They've got a herd of real elk. Oh, yes, I have heard of it. Yeah, yeah. Cougars, lynx, bobcats, and you get to roll through the park on a tram. So you get a, you know, so you get a, you get to get in their habitat. You know what I mean? It's pretty neat. That is cool. I've heard of that, yeah. But you know, I'd be standing up there in front. Listen, those people give me all that, you know, animal information, you know, you're learning new stats about how grizzly bears kill other, you know, that stuff. So interesting to, especially, I mean, I fight it interesting now, but yeah.

You know, when you're eight, nine years old, learning about how to grizzly bear tears apart a deer, like that's interesting stuff. You know what I mean? That's, that's good. One of her classmates is definitely hyperactive. Paying attention is not as gig. They started talking about turtles. My man was locked in answering all the questions. It was, it's beautiful. Hey, just he, he hit his moment, right? And goes up in the back. All of a sudden, like he's paying more attention than everybody combined. Dude, I love that. Try coaching. Dude, it's so funny. There's so many funny moments. Coach in sixth grade boys. And they're getting better than they used to. I mean, it's third grade. It was, no, like I told people, I was like, it's like herding cats on cocaine, right? Just all over the place. But just, you'll be sitting there talking to them and just, hold on, hold on, come back, come back here. Right? It's just, yeah. I had a kindergarten basketball last year and that was, that was as insane as you would imagine. You want to hear, I got to throw another

funny one for that. This is Friday special guys. You can't expect to be serious all the time.

So nothing's going on the market anyway. Yeah, nothing. Yeah. Yeah. We get a balance. We have another rundown speaking of 12 minutes left. We'll, we'll get to that after the story. So, so one of the best player and he's a stud, awesome kid, great kid on my team. His name is August and tough as nails, great football player and fast, but not crazy fast. And then we're playing, I let the kids at the end of practice. We have a really good practice. We'll do 10, 15 minutes of like two-and-touch football, ultimate football, something like that. He kid gets out there and just hits this gear that I've never seen before. I pull him aside and they go, what is that? He goes, well, coach, I'm not thinking about trying to find a hole. And I said, buddy, you don't need to think I need you to go that fast. So anyway, one of my best players is all of a sudden way better.

But just these are things you don't think you have to remind somebody that hey, I'm gonna hand you this ball 11 people are trying to kill you. You need to run as fast as you can now He's taking his time. He's weeding through it It's just it's so funny dealing with kids and it's one of its mind-blowing sometimes and as a parent it can be mind-cramping at the same time It I don't know I don't know the right adjective funny isn't it interesting is it really but it's it's all positive but you just sit there and go You never thought to run as fast as you could. That's the thing about teaching people anything, things you take for granted. They may not. Yeah. Yeah. I think he thought was like, I got to keep it in fourth gear in case I need to switch lanes or something. No, no, no, son. That's fifth gear. Drop the hammer. Let it roll. You know, maybe your first two steps. Then let's go rely on instincts. Let them do the rest for you. Anyway, just the funny stuff. Kids crack me up. Okay. So we do need to talk some market stuff. Would you run down? Yeah, I do. Yeah. Let's go through the rundown.

So that's be closed up point three one cues of one point four equally. It was actually down about point four small caps up one Mac seven up one AI stocks up about three all-world XUS about point two the dollars actually at point seven That's because of something else we should mention the jobs market was red hot red hot so naturally dollar moved up a good bit Inside

Mac seven is anything worth mentioning Tesla had a little bounce back before Honestly, that's really it. Space X was up over eight. Oil up 0.3, though, out on the curve was actually up more kind of the opposite of yesterday. He got to December 27, you're up almost 2%. Gold down 1%, silver down 1%, though gold miners up 2%. A bit of an interesting diversion is there, I would say. Copper down again, though, palladium down. Rates?

kind of interesting to me today. I would have thought you'd been up more given what happened with that jobs report. You're up four basis points on the two and only two on the 10 and virtually flat on the 30. So I think, I mean, honestly, I think it's momentum stocks have been basically thrown off the cliff here. I think you basically have momentum in treasuries. And I think you kind of feel that a lot of people are just buying treasuries with their puke pile after they get out of chips or whatever. Well, and they, and I should have talked more about this. I look and then fall down 3%. The, the, the bid and treasuries to me makes less sense than trying to buy AI here. And I think the people are, and I'm not making a call. I'm not telling you to do something. I just think people are overreacting to what they're seeing in markets. I don't think that they're looking at, I know they're not looking at macro data macro data is fine. No. And then a big announcement comes out that.

Warren Buffett's Berkshire Hathaway by 17 billion of treasuries. Which they do all the time. Guys, it's 1.7% of their book. Literally just cash management for them. It's 1.7% of the book, but then they make an announcement like that and the whole public goes, oh, what? You've got to get in there and buy treasuries because, you know, they say 17 billion and like financial media does never any context. Don't even get, you want to get me on a rant. I can't stand the way earnings get reported. Oh, earnings are up 14%. I don't care what percentage. Tell me what the revenue grew and what the earnings were. Don't tell me about a beat. No, they don't even say that. Excuse me. They don't say it's up for it. Oh, it's a beat by three cents. Go. We jumped over the two-foot hurdle we put in front of ourself. Yeah. Usually how it works. Yeah. Give me that. Which is why now, if you miss earnings, you get whacked.

What's funny is like, I see this in all the Chinese names own. They'll miss earnings and the market's like, cool, whatever, man. You always miss earnings. Well, you're trading, when you're trading at four times earnings here, if you miss earnings, it's like, we're taking you out back. Like you don't get to do that. Well, when you're trading at 80 times earnings is a little more important. And they just don't care over there. It's like Japan for years. Like there's like, whatever, yeah, this was earnings, like deal with it. Well, I think it's here. It's such a, it's just such a show you got to put on. Yeah. Which I think adds to short-term volatility. Oh, yeah. 100%. Because you're not allowed to have bad earnings, that's for sure. Right. And you're included. And you're especially not allowed to have bad guidance. You know what I was thinking about the other day? Well, it wasn't the other day. It was last night. I got into this old 90s circuit documentary on all of the accounting frauds. Well, no, it had to be early 2000s because it covered Enron too. But in long cycles, especially when you look at big capex cycles that are currently going on and I'm not blaming any specific companies. I don't have anything. I was just reminded about all of the chicanery that's probably going on in the in the accounting of these public firms. Oh, of course, and private. Yeah. And you have it could be because you haven't really seen an earnings scandal in a really long time. And I said micro ones but not like a whole holy smokes big one. Yeah. And you've gone so long without seeing them and there's so many BS metrics now.

Go look at any big company and like and go I mean there's some out there that report it normally But a lot of these go figure out go you go look at their balance sheet and try to tell me what their actual earnings were on a gap basis Good luck if they don't report them themselves Yeah, and you can always just kind of like move move the stuff around to from one quarter to the next this way that way You can always you can It's kind of like a you can always make them look however you want to in any given quarter. Yeah, you can't do that long term. But in any given quarter, you can you can make it look however you want. What was the name of the company? Oh, waste management, waste management scandal back in the late 90s. Right. They were they were juice and earnings by as much as a hundred million dollars a quarter by speaking of the changing their what you remember the story? No, I don't remember this child by simply adjusting their depreciation. There you go. All right.

Now, that's just normal. Sound familiar? Speaking of, there's a proposed rule change from the SEC that relates to watering down the reporting on related party transactions, which is the easiest place to hide stuff. Yes, but going back to this, okay, literally waste management had a counting fraud that amounted to them extending their depreciation schedules beyond rationale. And nobody even blinks. When a company like Microsoft says we're going to depreciate data centers over 20 years. No, nobody even blinks. What is that data center? And we've gone off on this before and I don't want to kick a dead horse. But what is it? What is that data center worth in 20 years? It's worth the land it's sitting on. And maybe the shell, yeah. Yeah, maybe the shell. But I mean, not a fraction of what and you're going to depreciate that over 20 years.

And they don't get called out. Look, I'm not saying they broke a law. They didn't. They came out and said that's what they're doing. They're not trying to hide it or obfuscate or whatever. But it does a lot for earnings in your term. I can't believe a regulator's on that. And then everybody's like, well, the SCC is understaffed. You're like, yeah, they're understaffed because they're coming after RIAs like me because a client's complaining that the bond side of their portfolio didn't beat the S&P 500. No, the whole thing is just upside down. They announced publicly that they're going to depreciate data centers at 20 years and a regulator doesn't have some really stiff questions about that. I don't have any questions. There's been another time waving through gambling markets right now. I think a six to eight year depreciation schedule on those is more than generous. Maybe 12, which still seems crazy to me because the chips make up what?

It's chips. I gotta be what 90% of your cost. It's gotta be a lot. Yeah. I mean, that's insane. I said that to be like going out there. Oh, well, they'll be worth something now. Oh, yeah. I got a bunch of 486 chips to sell you. Remember those? No. Pentium. I got a Pentium processor. You can run. I do remember those. Yeah. So Pentium, I think was the next chip. So it went like 286, 386, 486. And I think the next jump up, they called it the Pentium. Got the computer on expert here. Yeah, I don't know why. Who knew? Yeah. I know. Weird, huh? Thanks for talking about floppy disk games. Yeah. I just, well, cause I remember my dad, like I remember it was a really big deal. Like when he had a 286, like at his firm, it was a really powerful computer.

You want to know a funny one? I remember when they thought it was really cool because he, in his office, he bought him. Now think about this. They bought an IBM word processor. All it did, right? It was just word.

Effectively right on a book with green font on a black screen. Oh, that's old school All I did word processor and it was like back then it was like 16 grand. Yep. I left the B1 bomber Everything in the in the back seats for the weapon systems operator. They were they were the green on the black screen Yeah, cathode ray tube that is like 60 pounds and you know, I don't know four feet long deep You got like shove the whole thing into a giant receptacle and they're and this was not that long ago. No No, it's the first time I went up inside the jet and I was just like, this can't be this can't be what you're actually using. Right. Like this is crazy. It's like a tarry game. You have to kickstart it. No, but sometimes that that literal thing I'm talking about, you might have to just slam it back in or underneath the seat is a panel where the hardware that like shoots the display at that piece of crap. You beat it. Yeah. You just smack that panel really hard in the panel. But Because you didn't want to open the panel because it had like 30 fasteners in it. You had to use, and we weren't allowed to use drills. You had to use a hand tool. Yeah. Now we were cheated all the time. We used drills, but like, but if you did the hand thing, it's like 10 minutes to open the panel to mess with it. So you just kick it a few times. That was like Armageddon. Remember movie Armageddon? This is how we fix things in Russia. It just starts beating the hell out of the roof. I did it all the time. There were times where I would drop kick the display or smash that panel.

And if it was like a new weapon system operator, they'd look at me like, how, what are you doing? And then it would fix it and they'd be like, what? This guy's trying to down our plane. Oh, okay. Anyway, what else have we not covered? I've, I've got to go here in any second. I got two things I'll mention really quickly. And then I don't know if you want to finish up more on your own, but we complain to the, about the Chinese not sending us enough rare earths and magnets today. That's, that seems like a huge piece of news to me. I don't know what's going to come of that, but. Who, who complained? Like best sent the, you know, like high level stuff. And then the other one is my Sotrini theory. We kind of talked about this a little bit yesterday that I thought he had an impact yesterday. And I looked at it a

little harder today because. What was he basing his report on? Because his report came out pre-election, didn't it? It wasn't based. Oh, no. Oh, he was saying that he, he agreed with us the election. I don't, I did not read his thing. I don't read him anymore. I don't either. And only because everyone else reads them. I love Sotrini's work. Yeah.

But but literally everyone reads them to include everyone retail, right? He's known for being an AI bull Long and strong before everyone else got it right. Well, he basically like pulled the plug on that on the fourth right before the close Which means if you were a reader of his you didn't really have time to pull the trigger Well, you saw like the most selling you've ever seen from retail ever essentially in the first hour yesterday. So retail puked up the AI trade at the same time as You know, CTAs had to sell, vol control to sell, all the hedge funds they were allowing the stuff had to sell. Like everyone had to sell the same thing at once. And before that, retail had actually been kind of buying the dip on this stuff. But then they let a lot of it go yesterday morning. And if you just think about the timing of the piece, I was like, huh, I wonder if this is just the retail army and read his piece and was like, well, I'm getting out of this crap. It was just an interesting, at least coincidence, I'll say. Yeah. But I'm going to roll because speaking of kids in school, I got to go do that.

All right, my man. Well, I you know what honestly, I think that does it for me and I don't think there's anything we haven't covered Nothing's good. All right, bro. Well as always you guys you can follow us on social media Follow me at at KYR radio chase. You can follow a pine cone macro. You guys know the drill For advisory services, bulwark capital management comm get the video feed on YouTube have a wonderful weekend Hopefully things will be a little calmer next well, they will be we're not gonna go through an election again But anyway, have a wonderful weekend. We'll see you next week. You're listening to Know Your Risk Podcast. Download and subscribe at knowyourriskpodcast.com.